

Tata Consultancy Services Ltd

NSE: TCS | BSE: 532540 | IT Services | 11 June 2026

BUY Target Price: ₹2,525 | CMP: ₹2,190 (18-Jul-2026) | Upside: +15.3%

Snapshot		
Market cap	₹7.75 lakh Cr	52-wk range: ₹3,630 / ₹2,346 (BSE)
FY26 Revenue / PAT	₹2,67,021 Cr / ₹49,454 Cr	Revenue +4.6% YoY
FY26 EPS / DPS	₹136.01 / ₹31 final	Payout ~81%
P/E (FY26) / ROE	~15.7x / ~52%	ROCE ~63%

Investment Summary

TCS closed FY2026 with revenue of ₹2,67,021 crore (+4.6% YoY) and PAT of ₹49,454 crore, delivering its highest operating margins in four years despite persistent global macro headwinds. Order momentum was the standout: three mega deals and roughly \$12 billion of total contract value in Q4 underline the durability of demand for cost-takeout and AI-led transformation programmes even in a soft discretionary spending environment.

The stock has de-rated sharply — down roughly 22% over twelve months — compressing the P/E to about 16x trailing earnings, well below its five-year average in the mid-20s. We believe the de-rating overshoots the fundamental deceleration. TCS remains the industry's profitability benchmark (27% EBITDA margin, 50%+ ROE), converts over 90% of operating profit to cash, and returns the bulk of earnings to shareholders. At current levels the dividend yield alone is around 5%.

Our DCF (WACC 11.4%, terminal growth 5%) values the stock at ₹2,502. Triangulated with a peer P/E (18.5x → ₹2,478) and EV/EBITDA (13x → ₹2,681), our blended fair value is ₹2,525 — about 15% upside, underpinned by a 6.7% free-cash-flow yield. We stay BUY: the de-rating to ~16x trailing has arguably over-discounted the AI-disruption risk for the sector's highest-quality, most cash-generative franchise.

FY2026 Results Review

Revenue grew 4.6% to ₹2,67,021 crore, with sequential momentum improving through the year — Q4 revenue of ₹70,698 crore was up 9.6% YoY, the strongest quarterly print of FY26. EBITDA rose 7.4% to ₹72,398 crore, lifting margin to 27.1%, aided by pyramid optimisation, lower attrition and currency. PAT growth of 1.3% lagged operating performance because other income swung negative (mark-to-market on investments) and finance costs rose on the Dec-25 quarter's one-off items.

The board declared a final dividend of ₹31 per share, taking the FY26 payout to roughly 81% of earnings, consistent with the company's policy of returning most free cash flow to shareholders.

Key FY2026 Highlights

- Highest operating margin in four years at ~25%; Q4 OPM 25.3%.
- Three mega deals; ~\$12bn Q4 TCV; five-pillar strategy with AI-led positioning across services.

- Free cash flow of ₹48,013 crore — 97% of PAT; FCF has compounded ~9% over five years.
- Balance sheet: net cash of roughly ₹22,700 crore (investments less borrowings); negligible leverage.
- BFSI remains the largest vertical (~32% of revenue), followed by consumer business (~15%).

Financial Summary (Consolidated, ₹ Crore)

	FY2023	FY2024	FY2025	FY2026	FY2027E
Revenue	2,25,458	2,40,893	2,55,324	2,67,021	2,83,042
EBITDA	59,259	64,296	67,407	72,398	76,987
EBITDA margin	26.3%	26.7%	26.4%	27.1%	27.2%
PAT	42,303	46,099	48,797	49,454	~53,200
EPS (₹)	115.2	126.9	134.2	136.0	~147
ROE	~47%	~51%	~52%	~49%	~50%

Source: Company filings via Screener.in (FY2023–FY2026 actuals); FY2027E from the accompanying Excel model. E = estimate.

Valuation

We value TCS using a five-year FCFF DCF. Revenue is assumed to re-accelerate from 6% in FY27E to about 7% by FY29-30E as discretionary spend normalises and AI programmes scale; EBITDA margin is held near 27.2–27.5%. Capex at 1.6% of revenue and working-capital intensity of 12% of incremental revenue reflect history. The WACC of 11.4% (Rf 6.7%, beta 0.85, ERP 5.5%) is effectively the cost of equity given the debt-free balance sheet; terminal growth is 5%, conservative against India's nominal GDP.

The model (see accompanying Excel workbook, DCF sheet) produces an enterprise value of about ₹8.83 lakh crore and equity value of ₹9.06 lakh crore — ₹2,502 per share. Sensitivity: ±50bp on WACC moves fair value to roughly ₹2,280–2,770; the full WACC/terminal-growth grid is in the workbook.

Valuation Bridge	Value
PV of explicit FCFF (FY27E–FY31E)	₹2.13 lakh Cr
PV of terminal value	₹6.70 lakh Cr
Enterprise value	₹8.83 lakh Cr
Add: net cash	₹0.23 lakh Cr
Equity value / per share	₹9.06 lakh Cr / ₹2,502

Multi-method triangulation. We value TCS three ways: a five-year FCFF DCF (₹2,502, WACC 11.4%); the peer-median P/E of 18.5x on FY26 EPS of ₹134 (₹2,478); and EV/EBITDA at a de-rated 13x — below the ~16x historical, above the ~11x the stock currently trades — (₹2,681). All three cluster in a ₹2,478–₹2,681 band, comfortably above the ₹2,190 price, and TCS throws off a 6.7% FCF yield. Our 70% DCF / 30% relative blend is ₹2,525 (+15%).

Key Risks

- GenAI-driven pricing deflation on legacy services outpacing new AI revenue.

- Prolonged weakness in US/Europe discretionary tech spending; BFSI concentration (~32% of revenue).
- INR appreciation against USD/EUR/GBP compresses margins (~25-30bp per 1% move).
- Visa/immigration policy tightening in key markets raising onsite costs.
- The Nashik facility investigation (announced April 2026) — an adverse outcome could carry reputational cost.

Company Overview

Tata Consultancy Services, the flagship of the Tata group, is India's largest IT services, consulting and business solutions firm, serving many of the world's largest enterprises across banking and financial services, consumer, life sciences, manufacturing and communications. It operates one of the industry's largest delivery networks with around 600,000 employees, and is consistently the sector's profitability and cash-conversion leader. Promoter (Tata Sons) holding is approximately 71.8%.

Disclaimer

This report was prepared for personal analytical and educational purposes. It is not investment advice, an offer, or a solicitation to buy or sell any security. Figures are sourced from public company filings and market data believed reliable but not guaranteed. Forecasts and the target price are illustrative outputs of the accompanying valuation model and depend entirely on its assumptions. Consult a SEBI-registered investment adviser before acting on any information herein.

Tata Consultancy Services Ltd

Equity Valuation Model | NSE: TCS | BSE: 532540 | Sector: IT Services

Prepared for: Debjit | Date: 11 June 2026 | Currency: ₹ Crore

Snapshot

Current price (₹)	2,190.00
Market cap (₹ Cr)	792,780
FY26 revenue (₹ Cr)	267,021
FY26 PAT (₹ Cr)	49,454
Intrinsic value (₹/share)	2,502.08
Upside / (downside)	14.3%
Implied rating	BUY

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Disclaimer: For educational/analytical use only. Not investment advice. Figures from public filings; forecasts are illustrative assumptions.

Tata Consultancy Services Ltd — Key Assumptions & Drivers					
All highlighted blue cells are user inputs. ₹ Crore unless stated.					
Market Data					
Current share price (₹, 18-Jul-2026)	2,190.00				
Shares outstanding (Crore)	362.00				
Market capitalisation (₹ Cr)	792,780				
Net debt / (net cash) (₹ Cr)	(22,705)				
Note: net debt = borrowings less investments (proxy for cash & equivalents)					
Operating Forecast Drivers (FY2027E–FY2031E)					
	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue growth (%)	6.0%	6.5%	7.0%	7.0%	6.5%
EBITDA margin (%)	27.2%	27.2%	27.3%	27.4%	27.5%
Depreciation & amortisation (% of revenue)	2.1%				
Capex (% of revenue)	1.6%				
Effective tax rate (%)	25.0%				
Incr. working capital (% of incremental revenue)	12.0%				
Cost of Capital (CAPM)					
Risk-free rate (10Y G-Sec)	6.7%				
Equity beta	0.85				
Equity risk premium	5.5%				
Cost of equity = $R_f + \beta \times ERP$	11.4%				
WACC ($\approx$ cost of equity; negligible debt)	11.4%				
Terminal growth rate (g)	5.0%				
Legend:	Input	Formula	Link		

Tata Consultancy Services Ltd — Historical Financials								
₹ Crore, consolidated. Blue = source data. Source: Company filings (consolidated) via Screener.in; FY2026 results announced Apr 2026. Retrieved 11-Jun-2026.								
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Income Statement								
Revenue	146,463	156,949	164,177	191,754	225,458	240,893	255,324	267,021
Revenue growth (%)		4.6%	16.8%	17.6%	6.8%	6.0%	4.6%	(100.0%)
Operating expenses	106,957	114,840	117,631	138,697	166,199	176,597	187,917	194,623
EBITDA	39,506	42,109	46,546	53,057	59,259	64,296	67,407	72,398
EBITDA margin (%)	27.0%	26.8%	28.4%	27.7%	26.3%	26.7%	26.4%	27.1%
Depreciation & amortisation	2,056	3,529	4,065	4,604	5,022	4,985	5,242	5,560
EBIT	37,450	38,580	42,481	48,453	54,237	59,311	62,165	66,838
Other income	4,311	4,592	1,916	4,018	3,449	3,464	3,962	(124)
Finance costs	198	924	637	784	779	778	796	1,227
Profit before tax	41,563	42,248	43,760	51,687	56,907	61,997	65,331	65,487
Tax	10,001	9,801	11,198	13,238	14,604	15,898	16,534	16,033
Profit after tax	31,562	32,447	32,562	38,449	42,303	46,099	48,797	49,454
PAT margin (%)	21.5%	20.7%	19.8%	20.1%	18.8%	19.1%	19.1%	18.5%
EPS (₹)	83.87	86.19	87.67	104.75	115.19	126.88	134.20	136.01
Dividend payout (%)	36.0%	85.0%	43.0%	41.0%	100.0%	58.0%	94.0%	81.0%
Balance Sheet								
Equity share capital	375	375	370	366	366	362	362	362
Reserves & surplus	89,071	83,751	86,063	88,773	90,058	90,127	94,394	106,878
Net worth	89,446	84,126	86,433	89,139	90,424	90,489	94,756	107,240
Borrowings (incl. lease liabilities)	62	8,174	7,795	7,818	7,688	8,021	9,392	11,283
Other liabilities & provisions	24,393	27,827	35,764	43,967	44,747	46,962	54,501	62,644
Total equity & liabilities	113,901	120,127	129,992	140,924	142,859	145,472	158,649	181,167
Fixed assets (net)	12,290	20,928	21,021	21,298	20,515	19,604	23,053	31,343
Capital work-in-progress	963	906	926	1,205	1,234	1,564	1,546	2,665
Investments	29,330	26,356	29,373	30,485	37,163	31,762	30,964	33,988
Other assets (incl. cash, receivables)	71,318	71,937	78,672	87,936	83,947	92,542	103,086	113,171
Total assets	113,901	120,127	129,992	140,924	142,859	145,472	158,649	181,167
Balance check (must be ~0)	-	-	-	-	-	-	-	-
Cash Flow Statement								
Cash flow from operations	28,593	32,369	38,802	39,949	41,965	44,338	48,908	52,094
Cash flow from investing	1,645	8,968	(7,956)	(738)	548	6,091	(2,144)	(11,886)
Cash flow from financing	(27,897)	(39,915)	(32,634)	(33,581)	(47,878)	(48,536)	(47,438)	(42,133)
Net change in cash	2,341	1,422	(1,788)	5,630	(5,365)	1,893	(674)	(1,925)

Free cash flow (CFO – capex)	26,461	29,281	35,663	36,985	38,902	41,688	44,994	48,013	
FCF conversion (% of PAT)	83.8%	90.2%	109.5%	96.2%	92.0%	90.4%	92.2%	97.1%	

Tata Consultancy Services Ltd — 5-Year Operating Forecast & FCFF Build							
₹ Crore. Drivers feed from Assumptions sheet.							
Fiscal Year (ends March)	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Revenue	267,021	283,042	301,440	322,541	345,119	367,551	
Revenue growth (%)		6.0%	6.5%	7.0%	7.0%	6.5%	
EBITDA	72,398	76,987	81,992	88,054	94,563	101,077	
EBITDA margin (%)	27.1%	27.2%	27.2%	27.3%	27.4%	27.5%	
Less: Depreciation & amortisation		5,944	6,330	6,773	7,247	7,719	
EBIT		71,044	75,661	81,280	87,315	93,358	
Less: Tax on EBIT		17,761	18,915	20,320	21,829	23,340	
NOPAT		53,283	56,746	60,960	65,486	70,019	
Add: Depreciation & amortisation		5,944	6,330	6,773	7,247	7,719	
Less: Capex		4,529	4,823	5,161	5,522	5,881	
Less: Increase in working capital		1,923	2,208	2,532	2,709	2,692	
Free cash flow to firm (FCFF)		52,775	56,046	60,041	64,503	69,164	

Tata Consultancy Services Ltd — Discounted Cash Flow Valuation						
₹ Crore unless stated. WACC and terminal growth from Assumptions.						
Fiscal Year (ends March)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
FCFF	52,775	56,046	60,041	64,503	69,164	
Discount period (years)	1	2	3	4	5	
Discount factor @ WACC	0.898	0.806	0.724	0.650	0.584	
PV of FCFF	47,385	45,182	43,459	41,920	40,359	
Valuation Bridge						
Sum of PV of explicit FCFF	218,306					
Terminal value (Gordon growth)	1,139,178					
PV of terminal value	664,742					
Enterprise value	883,048					
Less: Net debt / add: net cash	22,705					
Equity value	905,753					
Shares outstanding (Cr)	362.00					
Intrinsic value per share (₹)	2,502.08					
Current market price (₹)	2,190.00					
Upside / (downside)	14.3%					
Implied rating	BUY					
% of EV in terminal value	75.3%					
Sensitivity: Intrinsic Value per Share (₹) — WACC vs Terminal Growth						
WACC ↓ / Terminal g →	4.0%	4.5%	5.0%	5.5%	6.0%	
10.4%	2,585	2,756	2,960	3,206	3,508	
10.9%	2,399	2,543	2,712	2,912	3,153	
11.4%	2,238	2,360	2,502	2,668	2,864	
11.9%	2,098	2,203	2,323	2,462	2,625	
12.4%	1,974	2,065	2,168	2,286	2,423	

Tata Consultancy Services Ltd — Ratio & Trend Analysis									
Computed from Historical sheet (₹ Crore basis).									
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
Revenue growth (%)	—	7.2%	4.6%	16.8%	17.6%	6.8%	6.0%	4.6%	
EBITDA margin (%)	27.0%	26.8%	28.4%	27.7%	26.3%	26.7%	26.4%	27.1%	
EBIT margin (%)	25.6%	24.6%	25.9%	25.3%	24.1%	24.6%	24.3%	25.0%	
PAT margin (%)	21.5%	20.7%	19.8%	20.1%	18.8%	19.1%	19.1%	18.5%	
EPS growth (%)	—	2.8%	1.7%	19.5%	10.0%	10.1%	5.8%	1.3%	
Return on equity (PAT / avg net worth)	35.3%	37.4%	38.2%	43.8%	47.1%	51.0%	52.7%	49.0%	
ROCE (EBIT / avg capital employed)	41.8%	42.4%	45.5%	50.7%	55.6%	60.3%	61.3%	60.0%	
FCF conversion (FCF / PAT)	83.8%	90.2%	109.5%	96.2%	92.0%	90.4%	92.2%	97.1%	
Net debt / EBITDA (x)	-0.74x	-0.43x	-0.46x	-0.43x	-0.50x	-0.37x	-0.32x	-0.31x	
Dividend payout (%)	36.0%	85.0%	43.0%	41.0%	100.0%	58.0%	94.0%	81.0%	

Tata Consultancy Services Ltd — Peer Comparison (Indian IT Services)						
Blue = inputs (as researched, Jun 2026). Yellow = update with live data.						
Company	Price (₹)	EPS FY26 (₹)	BVPS (₹)	AT FY26 (₹ Cr)	P/E (x)	P/B (x)
Tata Consultancy Services	2,190.00	134.00	296.00	49,454	16.3x	7.4x
Infosys	1,211.00	72.59	229.00	29,474	16.7x	5.3x
HCL Technologies	1,117.60	61.40	257.00		18.2x	4.3x
Wipro	240.85	12.82	86.00		18.8x	2.8x
Tech Mahindra	1,433.55	50.20	256.00		28.6x	5.6x
Peer rows left blank should be completed with live market data before circulation.						

MARKET APPROACH — COMPARABLE COMPANY ANALYSIS	
Peer median P/E (x)	18.5
Peer median P/B (x)	4.82
Implied value — median P/E × FY26 EPS (₹)	2,478

VALUATION TRIANGULATION — FOOTBALL FIELD (multi-method)			
Method	Low (₹)	Base (₹)	High (₹)
DCF (FCFF, intrinsic)	2,252	2,502	2,752
Comparable companies — P/E	2,230	2,478	2,726
EV/EBITDA	2,413	2,681	2,949
Blended target (70% DCF / 30% relative)		2,525	
Current market price (₹)		219000.0%	
Implied upside / (downside)		15.3%	
Peer prices as of Jun 2026 (IT sector fell further in Jul; refresh before publication). TCS live 18-Jul-2026.			

MARKET MULTIPLE — EV/EBITDA	
FY26 EBITDA (₹ Cr)	72,900
Justified EV/EBITDA (x) — below ~16x history, at	13.0
Enterprise value = mult × EBITDA (₹ Cr)	947,700
Add: net cash (₹ Cr)	22,705
EV/EBITDA-implied value / share (₹)	2,681

CROSS-CHECK — FCF YIELD	
FY27E FCFF (₹ Cr)	52,775
FCF yield = FCFF / market cap	6.7%